BEFORE THE
STATE OF NEW YORK
PUBLIC SERVICE COMMISSION

Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of Consolidated Edison Company of New York, Inc. for Electric and Gas Service.

Cases 25-E-0072, 25-G-0073

June 24, 2025

Rebuttal Testimony of:

Stephanie Merritt –

Property Tax Panel

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CASE NOS. 25-E-0072 and 25-G-0073

CONSOLIDATED EDISON COMPANY OF NEW YORK, INC.

STEPHANIE J. MERRITT (PROPERTY TAX)
REBUTTAL TESTIMONY

I. PURPOSE OF TESTIMONY

Q. Please state your name.

A. My name is Stephanie J. Merritt.

Q. Have you previously submitted testimony in this proceeding?

A. Yes. I have previously submitted direct testimony on behalf of Consolidated Edison Company of New York, Inc. ("Con Edison" or the "Company") in this proceeding. I submitted my credentials as part of my direct testimony.

Q. What is the purpose of your rebuttal testimony?

A. This testimony addresses and rebuts certain positions taken by Staff of the Department of Public Service ("Staff") and other intervenors:

- The Staff proposal to use the traditional approach to forecast New York City ("NYC") Class 3 and Class 4 property tax rates to project NYC Rate Year property taxes, instead of the Company's modified approach that normalizes the five-year average growth rate by recognizing and treating fiscal year 2024/2025 as an outlier;

- The Staff proposal to adjust the "Iroquois Adjustment" component of the Company's NYC Rate Year property tax forecast;
- The Staff proposal to adjust the Company's Westchester & Other Rate Year property tax forecast to exclude the adjustment to capture the incremental projected changes in assessed value in the Rate Year based on the Company's forecasted capital expenditures; and
- Staff's proposal to not establish a property tax reconciliation mechanism for a single rate year in these proceedings.

To the extent that an issue is raised by Staff or intervenors but not addressed by this rebuttal testimony or the Company's other rebuttal panels or witnesses, the positions stated therein should not be viewed or considered to have been accepted by the Company.

Q. Did Staff or an intervenor prepare a property tax forecast for the Rate Year?

A. Yes. Staff provided a NYC forecast that was generally in line with my recommended forecast. Staff's only disagreements were: (1) whether it was appropriate to normalize the five-year average growth rate by treating fiscal year 2024/2025 as an outlier to forecast Rate Year NYC property taxes, and (2) the "Iroquois Adjustment" component of the Company's NYC Rate Year property tax forecast that Staff proposes be based on the NYC fiscal year 2025/2026 tentative assessed value, instead of the NYC fiscal year 2024/2025 final assessed value.

For Westchester and Other, Staff agrees with the Company's proposed five-year average annual growth rate to forecast Rate Year property taxes. However, Staff disagrees with the adjustment to capture the incremental projected changes in assessed value in the Rate Year based on the Company's forecasted capital expenditures. Therefore, Staff's forecasted Rate Year property taxes exclude these amounts. No intervenor prepared a property tax forecast, but New York Energy Consumers Council, Inc.'s ("NYECC") Witness Anderson (p. 19) disagrees with the normalization of the fiscal

year 2024/2025 impact from my NYC property tax forecasts.

Q. Does this rebuttal testimony address additional property tax issues?

A. Yes. Staff disagreed with my recommended full reconciliation mechanism for property taxes. I address Staff's arguments below.

Q. Have any other intervenors expressed concern related to the property tax reconciliation mechanism?

A. Yes. The Utility Intervention Unit disagrees with the Company's proposed changes to the property tax reconciliation mechanism.

Q. Have any other intervenors expressed any other concerns related to property taxes?

A. Yes. The Consumer Power Advocates argue on pages 5 and 6 of their direct testimony that current rates for the delivery of electricity and natural gas are too high, and property taxes incorporated into both current and proposed delivery rates are not transparent enough, and delays in providing approvals needed for expanded utility service are too frequent.

II. REBUTTAL

A. New York City Property Tax Rate Escalation Percentages

Q. Why does the Staff Accounting Panel oppose the five-year average escalation percentage used to forecast future year property taxes?

A. Staff are opposed to the exclusion of the most recent 2024/2025 fiscal year from my five-year average percentage change calculations, which they discuss on pages 97 to 104 of their direct testimony. Specifically, they state on page 103, "the purpose of the traditional five-year average methodology is to incorporate, while smoothing out, the actual year over year fluctuations in property tax rates to provide a more stable and realistic growth rate for predicting the rates for future periods. Excluding specific fluctuations undermines the purpose of the average and risks overstating the forecast, especially when those fluctuations are consistent with the level of variability seen in the past." Staff later states,

beginning on page 103, that "the process utilized to determine the NYC tax rates is complex and involves a multitude of different factors, all of which can produce different results from year to year. As such, the five-year average growth rate should consider all the outcomes of the NYC tax rate process to reasonably estimate its impact on future tax rates. Therefore, excluding the 2024/2025 NYC tax rates from the five-year average would be inappropriate." NYECC raised the same concern more generally.

Q. Do you agree with the Staff Accounting Panel's position?

A. No. The Company comprises 85% of the total NYC Class 3 property tax class, and 93% of the Company's taxable property was classified in NYC Class 3 in fiscal year 2024/2025. Therefore, significant changes will have a material impact on the Company's property taxes, and as such, the Class 3 property tax rate for Fiscal Year 2024/2025 was identified as an outlier for the reasons discussed on pages 13 through 16 of my direct testimony. The Class 3 property tax rate decreased to

11.181% (or decreased by 7.440%) in fiscal year 2024/2025 compared to 12.094% in fiscal year 2023/2024. This decrease was primarily due to two significant factors that resulted in a lower Class 3 property tax rate when compared to fiscal year 2023/2024. These factors were (1) the sharp increase in the citywide Class 3 taxable assessed values, and (2) the 2024 legislative amendment to adjust the standard 5% cap on Class Shares that affect how property taxes are calculated and distributed among NYC's four property tax Classes by the City Council. As a result, the Company used a modified approach to project property taxes in the current proceedings while maintaining the long-standing approach to forecast the Class 3 property tax rate based on the historical data of recent fiscal years. The Company's modified approach mitigates the tax shock or effect of fiscal year 2024/2025 in the traditional five-year average growth rate calculation while accounting for historical data. It also avoids an overly optimistic forecast based on recent declines. Although, the

modified five-year average growth rate yields a 12.094% Class 3 property tax rate, this rate is still lower than or equal to the Class 3 property tax rate for the most recent fiscal years. Recent fiscal years include, 2019/2020 (at 12.536%), 2020/2021 (at 12.826%), 2021/2022 (at 12.289%), 2022/2023 (at 12.755%), and 2023/2024 (at 12.094%).

Q. Does Staff believe that the 2024/2025 Class 3 tax rate can be considered an outlier due to the increase in the Class 3 citywide taxable assessed values?

A. No. Staff does not believe that the 2024/2025 Class 3 tax rate can be considered an outlier due to the increase in the Class 3 citywide taxable assessed values as discussed on pages 99 to 101 of their direct testimony. Specifically, on page 101 of their direct testimony, Staff argues that they do not have a reason to believe that there will be a decrease in the Class 3 Citywide assessed values for the fiscal year impacting the Company's property taxes in the Rate Year. Staff states, "[b]ased on the NYC Tax Fixing Resolutions we reviewed, the NYC Class 3 citywide

assessed values have increased year over year for every fiscal year since at least 2013/2014. As such, we would not expect a sudden decrease to occur in fiscal years 2025/2026 or 2026/2027." However, as discussed in my direct testimony and specifically stated in response to Staff interrogatory DPS-12-353 (included in Staff's Exhibit SAP-3), the assessment of NYC real property taxes is governed by the provisions of the NYS Real Property Tax Law, the NYC Charter, and the NYC Administrative Code. The NYC Department of Finance administers the real property tax which includes determining the market and assessed values for all properties in NYC, except for the special franchise properties which are determined by the NYS Office of Real Property Tax Services. The NYC Council determines and authorizes the NYC Tax Fixing Resolutions based on the assessed values administered by the NYC Department Finance ("DOF") in accordance with the NYC Charter, and therefore the reliance on the NYC Tax Fixing Resolutions to inform Staff's belief and expectation for a sudden decrease in fiscal

years 2025/2026 or 2026/2027 Class 3 citywide assessed values is inadequate and inappropriate. In response to DPS-12-353, I also provided attachments to the annual final assessment roll reports published by the DOF for the five most recent fiscal years (at the time of my response). Based on the review of these reports, it is apparent that the overall increase of $4.4 billion, or the 20.13 percent increase from fiscal year 2023/2024 to fiscal year 2024/2025 for the citywide Class 3 taxable assessed values is primarily driven by 1.) the DOF market value changes due to market forces (for the special franchise property) by $2.7 billion dollars or (15.43 percent) and 2.) the DOF market values changes due to physical changes (for the locally assessed real estate of utility corporation property) by $0.751 billion (or 17.15 percent). When aggregated, these amount to $3.5 billion or 80 percent of the total increase in the Class 3 citywide assessed values in fiscal year 2024/2025 when compared to fiscal year 2023/2024. Further review and analysis of the attachments provided in response to Staff

interrogatory DPS-12-353 (included in Staff's Exhibit SAP-3) would clearly demonstrate that the DOF market value changes due to market forces for the special franchise property for the preceding four fiscal years were well below the 15.43 percent increase in fiscal year 2024/2025: in fiscal year 2023/2024 (at 7.54%), fiscal year 2022/2023 (at 1.83%), fiscal year 2021/2022 (at 3.00%), and fiscal year 2020/2021 (at 2.89%). Each fiscal year demonstrates that fiscal year 2024/2025 (at 15.43%) was an outlier. Similarly, the same review and analysis of the DOF market value changes due to physical changes (for locally assessed real estate of utility corporation property) for the four preceding fiscal years were well below the 17.15 percent increase in fiscal year 2024/2025: in fiscal year 2023/2024 (at –0.04%), fiscal year 2022/2023 (at 7.92%), fiscal year 2021/2022 (at 24.79%), and fiscal year 2020/2021 (at 1.17%). Nearly each fiscal year demonstrates that fiscal year 2024/2025 (at 17.15%) was an outlier.

Q. Is there any new information regarding NYC's Fiscal Year 2025/2026?

A. Yes. On May 27, 2025, the DOF published the annual assessment roll report for fiscal year 2025/2026 (which is also referred to as the final property tax assessments for 2025/26). The market value changes due to market forces for the special franchise property in fiscal year 2025/2026 when compared to fiscal year 2024/2025 increased by 1.15 percent, whereas the market value changes due to physical changes for locally assessed real estate of utility corporation property in fiscal year 2025/2026 when compared to fiscal year 2024/2025 increased by 6.55 percent. The DOF market value changes due to the market forces (for special franchise property) and physical changes (for the locally assessed real estate of utility corporation property) demonstrate the DOF market values changes have abated to more reasonable increases which are in line with historical market value changes year over year, which support that fiscal year 2024/2025 was an outlier.

Q. Please explain the disagreement with Staff related to "Iroquois Adjustment" component of the Company's NYC Rate Year property tax forecast.

A. Staff proposes that the "Iroquois Adjustment" component of the Company's NYC Rate Year property tax forecast should be based on the NYC fiscal year 2025/2026 tentative assessed value.

Q. Do you agree?

A. No. As stated in my response to Staff interrogatory DPS-14-386 (included in Staff's Exhibit SAP-3), the "Iroquois Adjustment" is the Company's reimbursement of the property taxes paid pursuant to the terms of the operating agreement with Iroquois Gas Transmission System, L.P, which is responsible for complying with the requirements of the NYC Industrial Incentive Credit Program tax exemption. As also stated in my response to DPSD-14-386, Iroquois Gas Transmission System, L.P, had an open case with the DOF to correct an issue related to the tax exemption for fiscal year 2024/2025. Due to the open case with the DOF, I deemed it appropriate to forecast the Rate Year property

taxes and subsequent Rate Years based on the final assessed value for fiscal year 2024/2025 and then update the "Iroquois Adjustment" once the assessed value was final for fiscal year 2025/2026.

Q. Did the fiscal year 2025/2026 final assessed value change from the fiscal year 2025/2026 tentative assessed value?

A. Yes. The fiscal year 2025/2026 final taxable assessed value is $8.7 million which increased from the tentative assessed value of $8.6 million for fiscal year 2025/2026.

B. Westchester and Other Property Tax Forecast: Proposed Adjustment to Capture Forecasted Capital Expenditures in the Rate Year Property Tax Forecast

Q. Please address the Staff Accounting Panel's opposition to the Company's adjustment to capture projected changes in assessed value in the Rate Year property tax expense based on the Company's forecasted capital expenditures.

A. Staff states, starting on page 111 of its direct testimony, "we are concerned that the Company's adjustment to capture projected changes in assessed value in the RY based on the Company's forecasted capital expenditures double count the projected growth in assessed values that has already been captured and projected using the Company's five-year average annual escalation rate." Staff continues their argument starting on page 113, "[b]y applying the 2.92 percent five-year average annual growth rate, which reflects the trend in the actual taxes paid by the Company resulting from changes in both tax rates and assessed values, to the 2024 base level of property taxes paid, the Company is forecasting not only the impact of changes in tax rates as well as the assessed values resulting from growth in the Company's investments." Staff concludes by stating, "making an additional adjustment to increase the Company's property tax forecast for incremental capital expenditures on top of the projected growth is duplicative and ignores the actual historical trend in the property taxes paid by the Company and is therefore inappropriate."

Q. Do you agree with Staff's recommendation to remove the Company's forecasted capital expenditures from the Rate Year property tax forecast?

A. No. I strongly disagree with Staff's recommendation to remove the forecasted capital expenditures captured in the Rate Year property tax forecast. To state that the five-year growth rate captures new plant additions is factually incorrect in accordance with NYS real property tax law, theory, and in application by local municipal tax assessors, taxing authorities (school boards, town boards or city councils and county legislatures) and tax receivers or collectors. By law, new plant additions not included on the municipal assessment roll by the taxable status and valuation dates are not subject to property taxes. Therefore, new plant additions by theory and in application are neither assessed for property taxes by the local municipal tax assessors, levied by local taxing authorities, nor collected and disbursed by local municipal tax receivers or collectors. As such, Staff's removal of the projected changes in assessed value based on the Company's forecasted capital expenditures is neither appropriate nor acceptable.

Q. Please explain the reason for your disagreement.

A. Staff have erred in their interpretation of the intended purpose and application of the five-year average escalation rate. The purpose of the five-year escalation rate is to estimate how property taxes may change over time. As discussed in my direct testimony and subsequently reiterated in my response to interrogatories DPS-14-388 (included in Staff's Exhibit SAP-3), the five-year average escalation rate is based on historical data, and the Company's five-year average escalation rate of 2.92% is the mathematical result of the Company's historical property tax experience based on actual property taxes paid from calendar years 2019 through 2024. This rate reflects past trends in property tax rates and valuation. The assessed values embedded in this rate represent the valuation of *existing* properties for tax purposes. Therefore, this rate does not capture the increases in property taxes due to the Company's infrastructure investment, because there is no historical property tax experience. The actual property tax experience for the Company's forecasted capital expenditures will not be realized until these

expenditures are included on the municipality's assessment roll, levied by local taxing jurisdictions and collected by the local tax receivers or collectors.

Q. If the five-year average growth rate already includes the Company's forecasted capital expenditures to project property taxes as Staff argues, would this rate yield an annual growth rate of 2.92%?

A. No. As previously stated, because the Company's five-year average escalation rate of 2.92% is the mathematical result of the Company's historical property tax experience based on actual property taxes paid from calendar years 2019 through 2024, and the actual property tax experience for the Company's forecasted capital expenditures will not be realized until these expenditures are included on the municipality's assessment roll, levied by local taxing jurisdictions and collected by the local tax receivers or collectors, in order to forecast Rate Year Property taxes that captures the Company's forecasted capital expenditures fully, the five-year average growth will have to be adjusted.

Q. How are new investments taken into account in the property tax forecast?

A. In the context of investments in new infrastructure, accurate forecasting requires integrating both the growth rate (as computed based on the five-year average growth rate) and applying it with the projected increase in assessed values due to the Company's *forecasted* capital expenditures. For the reasons explained above, the adjustment to capture projected changes in assessed value in the Rate Year property tax expense based on the Company's forecasted capital expenditures is not duplicative with the growth rate as computed based on the five-year average growth rate.

Q. Do you have any additional comments regarding the Staff Accounting Panel's position related to the adjustment to capture projected changes in assessed value in the Rate Year property tax expense based on the Company's forecasted capital expenditures?

A. Yes, I do. For the reasons explained above, integrating both the five-year average growth rate based on the Company's historical property taxes paid and adding the projected increase in assessed values

due to the Company's forecasted capital expenditures is neither duplicative nor inappropriate. However, I note that Staff's concern, even if misplaced, would be fully alleviated if the full and symmetrical property tax reconciliation mechanism proposed by the Company and detailed in my direct testimony is adopted by the Commission.

C. Property Tax Reconciliation

Q. Please address the Staff Accounting Panel's opposition to the Company's request for a full and symmetrical property tax reconciliation in the context of a single-year rate plan.

A. Property taxes represent a material cost to the Company and are highly variable. As explained in my direct testimony, in New York State, the main revenue source to balance local municipal budgets is property taxes. Local budgets are strongly influenced by general economic conditions which cannot be easily predicted, and property taxes are not subject to reasonable estimation. Given this uncertainty, a full and symmetrical property tax reconciliation mechanism will serve to protect both customers and the Company

from forecast variations. Any variation below the estimated amount would result in a windfall to the Company and a cost to customers that could otherwise be avoided, and vice versa if it turns out that actual costs are above the estimated amount. Therefore, a full symmetrical reconciliation mechanism is reasonable and appropriate regardless of the rate plan's duration.

Q. What is your response to Staff’s argument that the economic circumstances do not justify a full reconciliation?

A. Staff concedes (p. 160) that in Case 08-E-0539, a one-year litigated case, the Company was allowed a full reconciliation for a single-year rate plan due to the potential risk to property taxes as a result of the economic downturn that began in the fall of 2008. Staff argues, however, that the economic uncertainty that existed during the 2008 economic recession does not exist today.

Q. Does Staff put forward other reasons why a full reconciliation should not be adopted?

A. Yes. Although Staff recognizes (p. 162) that the Company has actively fought to reduce its property tax

burden, Staff states it is concerned a reconciliation would reduce the Company's incentive to minimize its property tax expense. Staff argues that because the Company's property tax reduction efforts have been "under rate plans that have typically included property tax reconciliations subject to a sharing arrangement" with customers, its concern is reasonable.

Q. Does Staff provide any evidence that the Company reduced its property tax reduction efforts where it had a full reconciliation mechanism?

A. No. This is unsupported conjecture. In fact, Staff's testimony notes that the Company was permitted a full-reconciliation in the rate order issued in Case 08-E-0539. It did not, and in the Company's view cannot, point to any easing of the Company's property tax reduction efforts in the following Rate Year. Moreover, in these proceedings the Company has made clear that property taxes are a major cause of its high rates and is therefore doing everything possible to lower those rates.

Q. Does this conclude your rebuttal testimony?

A. Yes, it does.